CIA Part 1 – 100 Hard Questions with Detailed Explanations

Essentials of Internal Auditing

Study Deck

October 15, 2026

Format

100 question slides (one question per slide).

Each slide: question, options A–D, correct answer.

Detailed explanation on the following slide (why correct, why others wrong).

Domains: Foundations, Independence & Objectivity, Proficiency & Due Care, QAIP, Governance, Risk, Control, Fraud, Engagement Planning & Reporting.

Q1

Question: Which statement best reflects the IIA definition of internal auditing?

A. A function that guarantees financial statements are free of misstatement.

B. An independent, objective assurance and consulting activity designed to add value and improve operations.

C. A compliance unit reporting to the external auditor.

D. A management advisory service focused only on cost reduction.

Correct Answer: B

Q1 – Explanation

Correct: B. The IIA definition states internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps achieve objectives through a systematic, disciplined approach to evaluating and improving risk management, control, and governance.

A wrong: Internal audit provides reasonable assurance, not a guarantee. Only external auditors opine on financial statements.

C wrong: Internal audit reports to the board/audit committee, not the external auditor, and is broader than compliance.

D wrong: Cost reduction is only one possible outcome; the scope is risk, control, and governance, not just cost.

Q2

Question: The primary purpose of the internal audit charter is to:

A. Describe the annual audit plan.

B. Define the purpose, authority, and responsibility of the internal audit activity.

C. List the qualifications of each auditor.

D. Establish the audit committee's meeting schedule.

Correct Answer: B

Q2 – Explanation

Correct: B. Standard 1000 requires the purpose, authority, and responsibility of the internal audit activity to be formally defined in a charter, approved by the board. The charter establishes the activity's position and reporting lines.

A wrong: The annual audit plan is a separate document, risk-based and approved by the board.

C wrong: Auditor qualifications belong in HR records or the QAIP, not the charter.

D wrong: The audit committee's schedule is set by the committee, not the internal audit charter.

Q3

Question: Which reporting line best preserves internal audit independence?

A. Directly to the controller.

B. Functionally to the audit committee, administratively to the CEO.

C. To the external auditor.

D. To the CFO.

Correct Answer: B

Q3 – Explanation

Correct: B. Functional reporting to the audit committee (charter, plan, reporting, performance) preserves independence. Administrative reporting to the CEO handles day-to-day HR, budget, and resources. This dual-line structure is best practice per IIA Standards.

A wrong: Reporting to the controller places internal audit under the very function it audits.

C wrong: Internal audit must not report to the external auditor; they are separate functions.

D wrong: Reporting to the CFO impairs independence over financial reporting audits.

Q4

Question: Which situation most clearly impairs an internal auditor's objectivity?

A. Auditing a process the auditor designed two years ago.

B. Auditing a department the auditor has never worked in.

C. Using a standardized audit program.

D. Reviewing a peer's working papers.

Correct Answer: A

Q4 – Explanation

Correct: A. Objectivity is impaired when an auditor audits an activity they previously designed, implemented, or operated. Standard 1130 requires reassignment if objectivity is impaired. A two-year gap does not remove the impairment.

B wrong: No prior involvement = no impairment.

C wrong: Standardized programs improve consistency; they don't impair objectivity.

D wrong: Peer review is a normal QAIP activity and supports objectivity.

Q5

Question: Due professional care requires an internal auditor to:

A. Detect all fraud.

B. Exercise the care expected of a reasonably prudent auditor.

C. Guarantee that controls are effective.

D. Eliminate all risk.

Correct Answer: B

Q5 – Explanation

Correct: B. Standard 1220: auditors must apply the care and skill expected of a reasonably prudent and competent auditor. It is not a guarantee – it is reasonable care.

A wrong: No auditor can detect all fraud; due care reduces but doesn't eliminate risk.

C wrong: Internal audit provides reasonable assurance, not a guarantee.

D wrong: Risk cannot be eliminated; it can only be managed.

Q6

Question: Continuing professional development (CPD) is required for internal auditors primarily to:

A. Satisfy HR paperwork.

B. Maintain proficiency and competence.

C. Increase billable hours.

D. Reduce audit fees.

Correct Answer: B

Q6 – Explanation

Correct: B. Standard 1230 requires internal auditors to enhance knowledge, skills, and competencies through CPD. This keeps the activity proficient.

A wrong: HR records are a byproduct, not the purpose.

C wrong: Billable hours are irrelevant to the Standards.

D wrong: Fee reduction is not the objective of CPD.

Q7

Question: The QAIP must include:

A. Only internal assessments.

B. Only external assessments.

C. Both internal and external assessments.

D. Neither, if the CAE is certified.

Correct Answer: C

Q7 – Explanation

Correct: C. Standard 1300 requires a QAIP covering all aspects of the internal audit activity, including both ongoing/periodic internal assessments and an external assessment at least every five years.

A wrong: Internal-only misses the required external assessment.

B wrong: External-only misses ongoing internal monitoring.

D wrong: Certification of the CAE does not waive QAIP requirements.

Q8

Question: An external quality assessment must be conducted at least every:

A. Two years.

B. Three years.

C. Five years.

D. Seven years.

Correct Answer: C

Q8 – Explanation

Correct: C. Standard 1312 requires an external assessment at least once every five years by a qualified, independent reviewer or team from outside the organization.

A wrong: Two years is too frequent and not required.

B wrong: Three years is not the Standard.

D wrong: Seven years exceeds the maximum interval.

Q9

Question: Which is NOT one of the four principles of the IIA Code of Ethics?

A. Integrity.

B. Objectivity.

C. Profitability.

D. Confidentiality.

Correct Answer: C

Q9 – Explanation

Correct: C. The four principles are Integrity, Objectivity, Confidentiality, and Competency. Profitability is not a principle.

A wrong: Integrity is required – honesty and candor.

B wrong: Objectivity is required – no conflicts, no bias.

D wrong: Confidentiality is required – protect information.

Q10

Question: Governance is best defined as:

A. Preparing financial statements.

B. The combination of processes and structures used to direct and control the organization.

C. The internal audit plan.

D. The external audit opinion.

Correct Answer: B

Q10 – Explanation

Correct: B. Governance is the set of processes and structures (board, policies, accountability) that direct and control the organization and align it with stakeholder interests.

A wrong: Financial statement preparation is a management function under governance.

C wrong: The audit plan is a tool of internal audit, not governance itself.

D wrong: The external audit opinion is an output, not governance.

Q11

Question: Inherent risk is:

A. Risk after controls.

B. Risk before considering controls.

C. Risk management ignores.

D. Risk that is always material.

Correct Answer: B

Q11 – Explanation

Correct: B. Inherent risk is the risk of an event occurring before any controls are applied. It is a component of the audit risk model along with control and detection risk.

A wrong: That describes residual risk.

C wrong: No risk should be ignored; inherent risk is assessed, not dismissed.

D wrong: Inherent risk can be high or low; materiality is separate.

Q12

Question: Residual risk is:

A. Risk before controls.

B. Risk remaining after controls.

C. Risk of fraud only.

D. Risk of auditor error.

Correct Answer: B

Q12 – Explanation

Correct: B. Residual risk = inherent risk minus the effect of controls. It is the risk that remains after management's response.

A wrong: That is inherent risk.

C wrong: Fraud is one type of risk, not residual risk.

D wrong: Auditor error is covered by detection risk, a different concept.

Q13

Question: Which is a preventive control?

A. Bank reconciliation.

B. Segregation of duties.

C. Variance analysis.

D. Exception report.

Correct Answer: B

Q13 – Explanation

Correct: B. Segregation of duties prevents fraud/error by stopping one person from controlling all aspects of a transaction. It acts before the event.

A wrong: Reconciliation detects errors after the fact.

C wrong: Variance analysis is detective.

D wrong: Exception reports are detective.

Q14

Question: Which is a detective control?

A. Authorization.

B. Physical safeguards.

C. Bank reconciliation.

D. Password policy.

Correct Answer: C

Q14 – Explanation

Correct: C. Reconciliation detects discrepancies after they occur, enabling correction.

A wrong: Authorization is preventive.

B wrong: Physical safeguards are preventive.

D wrong: Password policy is preventive.

Q15

Question: The fraud triangle consists of:

A. Pressure, opportunity, rationalization.

B. Risk, control, detection.

C. Plan, do, check.

D. Cash, inventory, receivables.

Correct Answer: A

Q15 – Explanation

Correct: A. Cressey's fraud triangle: pressure (incentive), opportunity, and rationalization. All three usually must be present for fraud.

B wrong: That's the audit risk model.

C wrong: That's the Deming/PDCA cycle.

D wrong: Those are balance sheet accounts, not a fraud model.

Q16

Question: When fraud is suspected, the internal auditor should:

A. Confront the suspect immediately.

B. Notify appropriate authorities within the organization and recommend investigation.

C. Ignore it until year-end.

D. Destroy workpapers.

Correct Answer: B

Q16 – Explanation

Correct: B. Standard 1210.A2: auditors must have sufficient knowledge to identify fraud indicators and report them to appropriate authorities; investigation is management/legal's job.

A wrong: Confronting the suspect can tip them off and destroy evidence.

C wrong: Delay allows fraud to continue and evidence to vanish.

D wrong: Destroying workpapers is unethical and potentially illegal.

Q17

Question: An audit finding should include:

A. Criteria, condition, cause, effect, recommendation.

B. Only the recommendation.

C. Only the condition.

D. Management's response only.

Correct Answer: A

Q17 – Explanation

Correct: A. The five-element finding model: Criteria (what should be), Condition (what is), Cause (why), Effect (impact), and Recommendation (fix).

B wrong: Recommendation alone lacks context.

C wrong: Condition alone lacks criteria and impact.

D wrong: Management's response is part of the report but not the finding itself.

Q18

Question: Audit risk is the risk that:

A. The client goes bankrupt.

B. The auditor reaches an incorrect conclusion.

C. Controls fail.

D. Fraud occurs.

Correct Answer: B

Q18 – Explanation

Correct: B. Audit risk is the risk the auditor issues an inappropriate conclusion. It is modeled as AR = IR x CR x DR.

A wrong: Bankruptcy is business risk.

C wrong: Control failure contributes to control risk, not audit risk definition.

D wrong: Fraud is a source of risk, not the definition of audit risk.

Q19

Question: Which is the strongest form of audit evidence?

A. Inquiry.

B. Observation.

C. Physical examination by the auditor.

D. Analytical procedures.

Correct Answer: C

Q19 – Explanation

Correct: C. Evidence directly obtained by the auditor through physical examination is most reliable because the auditor controls its collection.

A wrong: Inquiry is the weakest – it relies on others' representations.

B wrong: Observation is good but limited to the moment of observation.

D wrong: Analytical procedures are indirect and depend on data quality.

Q20

Question: Sufficiency of evidence relates to:

A. Quality.

B. Quantity.

C. Timeliness.

D. Relevance.

Correct Answer: B

Q20 – Explanation

Correct: B. Sufficiency = quantity of evidence. Appropriateness = relevance + reliability (quality).

A wrong: Quality is appropriateness.

C wrong: Timeliness is a dimension of reliability, not sufficiency.

D wrong: Relevance is part of appropriateness.

Q21

Question: Which sampling method gives every item an equal chance of selection?

A. Judgmental sampling.

B. Haphazard sampling.

C. Random sampling.

D. Block sampling.

Correct Answer: C

Q21 – Explanation

Correct: C. Random sampling uses a random number generator or table so every item has a known, equal chance. It supports statistical inference.

A wrong: Judgmental relies on auditor bias.

B wrong: Haphazard is not statistically valid.

D wrong: Block sampling selects contiguous items and is biased.

Q22

Question: Attribute sampling is used to:

A. Estimate a monetary amount.

B. Estimate a rate of deviation from a control.

C. Project fraud losses.

D. Set materiality.

Correct Answer: B

Q22 – Explanation

Correct: B. Attribute sampling tests whether a characteristic (attribute) exists – e.g., was the invoice approved? It estimates deviation rate for control testing.

A wrong: Monetary unit sampling estimates amounts.

C wrong: Fraud loss projection uses different techniques.

D wrong: Materiality is a judgment, not a sampling output.

Q23

Question: The first step in an audit engagement is to:

A. Perform fieldwork.

B. Issue the report.

C. Define objectives and scope.

D. Conduct the exit meeting.

Correct Answer: C

Q23 – Explanation

Correct: C. Planning begins with defining engagement objectives, scope, and criteria. Everything else flows from that.

A wrong: Fieldwork comes after planning.

B wrong: The report is the last step.

D wrong: The exit meeting occurs near the end.

Q24

Question: A consulting engagement differs from an assurance engagement because consulting:

A. Always produces a formal opinion.

B. Is advisory in nature and typically requested by the client.

C. Cannot be performed by internal audit.

D. Requires no documentation.

Correct Answer: B

Q24 – Explanation

Correct: B. Consulting is advisory and usually requested by management. Assurance is an objective assessment where internal audit determines scope.

A wrong: Assurance, not consulting, produces conclusions/opinions.

C wrong: Internal audit may perform consulting per its charter.

D wrong: All engagements must be documented.

Q25

Question: Before accepting a consulting engagement, the CAE should first consider:

A. Whether it impairs objectivity or independence.

B. Only the fee.

C. Only the client's preference.

D. Only the timeline.

Correct Answer: A

Q25 – Explanation

Correct: A. Standard 1130.C1: the CAE may accept consulting engagements, but must decline if objectivity or independence would be impaired.

B wrong: Fees are not the primary consideration.

C wrong: Client preference does not override the Standards.

D wrong: Timeline is secondary to independence.

Q26

Question: Which element is NOT part of the audit risk model?

A. Inherent risk.

B. Control risk.

C. Detection risk.

D. Market risk.

Correct Answer: D

Q26 – Explanation

Correct: D. The audit risk model is AR = IR x CR x DR. Market risk is a business/economic concept, not part of the audit risk model.

A wrong: IR is part of the model.

B wrong: CR is part of the model.

C wrong: DR is part of the model.

Q27

Question: Materiality in an audit is:

A. A fixed percentage of revenue.

B. A matter of professional judgment about what influences decisions.

C. Always $1 million.

D. Set only by the external auditor.

Correct Answer: B

Q27 – Explanation

Correct: B. Materiality is professional judgment: would the omission/misstatement influence a reasonable user's decisions? It varies by entity and context.

A wrong: No fixed percentage is mandated.

C wrong: No universal dollar threshold exists.

D wrong: Internal auditors also assess materiality for their engagements.

Q28

Question: A walkthrough is used primarily to:

A. Confirm account balances.

B. Understand the flow of a transaction through the system.

C. Test IT access controls.

D. Calculate materiality.

Correct Answer: B

Q28 – Explanation

Correct: B. A walkthrough traces one or a few transactions from start to finish to understand process flow, controls, and gaps.

A wrong: Confirmations verify balances, not process flow.

C wrong: IT access testing is a separate procedure.

D wrong: Materiality is a judgment, not a walkthrough output.

Q29

Question: The best evidence of the existence of inventory is:

A. Management's representation.

B. Physical observation/count by the auditor.

C. The prior year's workpapers.

D. The purchasing manager's email.

Correct Answer: B

Q29 – Explanation

Correct: B. Direct physical observation/count by the auditor provides the strongest evidence of existence.

A wrong: Management's representation is weak and self-serving.

C wrong: Prior-year workpapers do not prove current existence.

D wrong: An email is documentary evidence of low reliability.

Q30

Question: Which is the best way to test the operating effectiveness of a control?

A. Inquiry.

B. Observation.

C. Reperformance.

D. Reading the policy.

Correct Answer: C

Q30 – Explanation

Correct: C. Reperformance – the auditor independently executes the control – provides direct, high-quality evidence of operating effectiveness.

A wrong: Inquiry alone is insufficient.

B wrong: Observation is limited to the observation period.

D wrong: Reading policy tests design, not operation.

Q31

Question: The CAE's functional reporting line to the board ensures:

A. Budget approval.

B. Independence and authority.

C. Daily oversight.

D. HR administration.

Correct Answer: B

Q31 – Explanation

Correct: B. Functional reporting to the board protects independence and gives internal audit the authority to act.

A wrong: Budget approval is administrative.

C wrong: Daily oversight is management's job.

D wrong: HR is administrative, handled by the CEO line.

Q32

Question: Which best describes "tone at the top"?

A. The CEO's salary.

B. Management's commitment to ethics and control.

C. The marketing slogan.

D. The IT password policy.

Correct Answer: B

Q32 – Explanation

Correct: B. Tone at the top is the control environment element reflecting leadership's ethics, integrity, and commitment to control.

A wrong: Compensation is unrelated.

C wrong: Marketing slogans are not control environment.

D wrong: Password policy is one IT control, not tone at the top.

Q33

Question: A control deficiency exists when:

A. Controls are documented.

B. Design or operation does not prevent/detect misstatements timely.

C. Management disagrees.

D. Risk is zero.

Correct Answer: B

Q33 – Explanation

Correct: B. A deficiency exists when a control is missing, poorly designed, or not operating so that misstatements are not prevented/detected timely.

A wrong: Documentation is a strength, not a deficiency.

C wrong: Management disagreement doesn't create a deficiency.

D wrong: Zero risk is unrealistic and not a deficiency test.

Q34

Question: A material weakness is:

A. A minor deficiency.

B. A deficiency creating a reasonable possibility of material misstatement.

C. A documentation gap.

D. A training issue.

Correct Answer: B

Q34 – Explanation

Correct: B. A material weakness is a deficiency (or combination) that creates a reasonable possibility that a material misstatement will not be prevented or detected timely.

A wrong: Minor deficiencies are less severe.

C wrong: Documentation gaps may be deficiencies but not automatically material.

D wrong: Training issues may contribute but are not the definition.

Q35

Question: Risk appetite is:

A. The amount of risk an organization is willing to accept.

B. The amount of risk the auditor accepts.

C. Always zero.

D. Set by regulators.

Correct Answer: A

Q35 – Explanation

Correct: A. Risk appetite is the amount and type of risk an organization is willing to pursue or retain in pursuit of objectives.

B wrong: Auditor risk acceptance is audit risk, a different concept.

C wrong: Zero appetite is unrealistic.

D wrong: Regulators set minimums, not the entity's appetite.

Q36

Question: Which is an example of a consulting engagement?

A. Financial statement audit.

B. Compliance audit.

C. Advisory on a new ERP control design.

D. Operational audit.

Correct Answer: C

Q36 – Explanation

Correct: C. Advising on control design for a new ERP is advisory (consulting). Assurance engagements involve objective assessment of existing conditions.

A wrong: Financial statement audit is external assurance.

B wrong: Compliance audit is assurance.

D wrong: Operational audit is assurance.

Q37

Question: An exit conference is used to:

A. Begin fieldwork.

B. Discuss findings and management responses before the final report.

C. Replace the audit report.

D. Set the audit fee.

Correct Answer: B

Q37 – Explanation

Correct: B. The exit conference validates findings and obtains management's response before issuing the final report, reducing misunderstandings.

A wrong: Fieldwork starts before the exit conference.

C wrong: It supplements, not replaces, the report.

D wrong: Fees are unrelated to the exit conference.

Q38

Question: The final engagement communication should include:

A. Only negative findings.

B. Objectives, scope, findings, conclusions, recommendations.

C. Only management's response.

D. Only the audit plan.

Correct Answer: B

Q38 – Explanation

Correct: B. Standard 2400 requires the communication to include objectives, scope, findings, conclusions, and recommendations (where applicable).

A wrong: Positive observations may also be included.

C wrong: Management's response is one part, not the whole.

D wrong: The audit plan is not the communication.

Q39

Question: Follow-up on audit recommendations is:

A. Optional.

B. Required to determine whether corrective action was taken.

C. The external auditor's job.

D. Not part of internal audit.

Correct Answer: B

Q39 – Explanation

Correct: B. Standard 2500 requires the CAE to establish a follow-up process to monitor and ensure management actions are effectively implemented.

A wrong: Follow-up is required, not optional.

C wrong: It is internal audit's responsibility.

D wrong: Follow-up is a core internal audit activity.

Q40

Question: The audit committee's primary responsibility is to:

A. Manage the company.

B. Oversee financial reporting, audit, and internal control.

C. Set product strategy.

D. Hire all staff.

Correct Answer: B

Q40 – Explanation

Correct: B. The audit committee oversees financial reporting, external and internal audit, and internal control on behalf of the board.

A wrong: Management runs the company.

C wrong: Strategy is the full board/management's role.

D wrong: Hiring is management/HR.

Q41

Question: Which is the best evidence of a contract's terms?

A. Oral confirmation.

B. The signed contract itself.

C. A legal department summary.

D. An email referencing it.

Correct Answer: B

Q41 – Explanation

Correct: B. The signed original contract is the primary, most reliable evidence of its terms.

A wrong: Oral evidence is the weakest.

C wrong: A summary is derivative.

D wrong: An email may not reflect final terms.

Q42

Question: Which would MOST likely impair auditor objectivity?

A. Rotating audit assignments.

B. Accepting a significant gift from an audit client.

C. Using standardized work programs.

D. Reviewing prior-year workpapers.

Correct Answer: B

Q42 – Explanation

Correct: B. Accepting significant gifts creates a conflict of interest and impairs objectivity under the Code of Ethics.

A wrong: Rotation enhances objectivity.

C wrong: Standardized programs improve consistency.

D wrong: Prior workpapers provide context, not bias.

Q43

Question: The audit committee's role in internal audit includes:

A. Approving the audit charter and plan.

B. Performing fieldwork.

C. Writing workpapers.

D. Issuing audit reports.

Correct Answer: A

Q43 – Explanation

Correct: A. The audit committee approves the internal audit charter, plan, budget, and appointment/removal of the CAE.

B wrong: Fieldwork is done by internal auditors.

C wrong: Workpapers are internal audit's.

D wrong: Reports are issued by internal audit.

Q44

Question: Which is NOT a component of the COSO Internal Control framework?

A. Control environment.

B. Risk assessment.

C. Marketing strategy.

D. Monitoring.

Correct Answer: C

Q44 – Explanation

Correct: C. COSO's five components: Control Environment, Risk Assessment, Control Activities, Information & Communication, Monitoring. Marketing strategy is not one.

A wrong: Control environment is COSO.

B wrong: Risk assessment is COSO.

D wrong: Monitoring is COSO.

Q45

Question: Which is the best description of fraud risk assessment?

A. A one-time exercise.

B. A continuous process integrated into audit planning.

C. Only the external auditor's responsibility.

D. Only relevant for public companies.

Correct Answer: B

Q45 – Explanation

Correct: B. Fraud risk assessment is continuous, integrated into planning, and considers incentives, opportunities, and rationalization.

A wrong: One-time assessments miss emerging risks.

C wrong: Internal audit also assesses fraud risk.

D wrong: All organizations face fraud risk.

Q46

Question: A significant control deficiency is discovered. The CAE should FIRST:

A. Report to the audit committee.

B. Discuss with management to validate the finding.

C. Notify external auditors.

D. Issue a qualified opinion.

Correct Answer: B

Q46 – Explanation

Correct: B. First validate the finding with management to confirm accuracy and get their response. Then escalate as needed.

A wrong: Reporting to the audit committee follows validation and management response.

C wrong: External auditors are notified later, if at all.

D wrong: Internal audit does not issue qualified opinions.

Q47

Question: An internal auditor lacks the expertise for an engagement. The BEST action is to:

A. Proceed anyway.

B. Use a competent specialist or decline.

C. Ask management to perform it.

D. Skip risky areas.

Correct Answer: B

Q47 – Explanation

Correct: B. Standard 1210: auditors must possess or obtain the knowledge/skills needed, or use a competent specialist.

A wrong: Proceeding without competence violates the Standards.

C wrong: Management cannot replace internal audit.

D wrong: Skipping risky areas defeats the engagement's purpose.

Q48

Question: The internal audit plan should be based PRIMARILY on:

A. Management requests.

B. A risk assessment.

C. Prior-year findings.

D. Budget constraints.

Correct Answer: B

Q48 – Explanation

Correct: B. Standard 2010: the plan must be based on a documented risk assessment, updated at least annually.

A wrong: Management input is considered but not primary.

C wrong: Prior findings inform, but risk drives.

D wrong: Budget is a constraint, not the basis.

Q49

Question: Which is the best description of "professional skepticism"?

A. Assuming management is dishonest.

B. A questioning mind and critical assessment of evidence.

C. Ignoring evidence.

D. Relying on prior-year conclusions.

Correct Answer: B

Q49 – Explanation

Correct: B. Professional skepticism is a questioning mind, alertness to conditions suggesting misstatement, and critical evaluation of evidence.

A wrong: It is not cynicism or assuming dishonesty.

C wrong: Ignoring evidence is the opposite.

D wrong: Prior conclusions must be re-validated.

Q50

Question: Internal audit's role in ERM is to:

A. Own the ERM process.

B. Provide assurance and consulting on ERM.

C. Set risk appetite.

D. Approve risk responses.

Correct Answer: B

Q50 – Explanation

Correct: B. Internal audit provides assurance and consulting on ERM but should not own it or set appetite – that would impair objectivity.

A wrong: Management owns ERM.

C wrong: The board sets risk appetite.

D wrong: Management approves responses.

Q51

Question: Which is NOT a component of the IIA Code of Ethics?

A. Integrity.

B. Objectivity.

C. Profitability.

D. Confidentiality.

Correct Answer: C

Q51 – Explanation

Correct: C. The Code's principles: Integrity, Objectivity, Confidentiality, Competency. Profitability is not one.

A wrong: Integrity is required.

B wrong: Objectivity is required.

D wrong: Confidentiality is required.

Q52

Question: Which is the most reliable evidence?

A. Inquiry of management.

B. Internally generated memos.

C. External confirmations.

D. Analytical review.

Correct Answer: C

Q52 – Explanation

Correct: C. External confirmations come from independent third parties, making them highly reliable.

A wrong: Inquiry is weak.

B wrong: Internal memos are less reliable.

D wrong: Analytical review is indirect.

Q53

Question: Which is a limitation of internal control?

A. Cost-benefit considerations.

B. Segregation of duties.

C. Physical safeguards.

D. Authorization procedures.

Correct Answer: A

Q53 – Explanation

Correct: A. Controls are limited by cost-benefit, human error, collusion, and management override.

B wrong: Segregation of duties is a control, not a limitation.

C wrong: Safeguards are controls.

D wrong: Authorization is a control.

Q54

Question: Auditors should document:

A. Only significant findings.

B. Only final conclusions.

C. The work performed and conclusions reached.

D. Only what management requests.

Correct Answer: C

Q54 – Explanation

Correct: C. Standard 2330: workpapers must document the work performed, evidence obtained, and conclusions reached.

A wrong: All relevant work is documented.

B wrong: Conclusions alone lack support.

D wrong: Documentation is not management's choice.

Q55

Question: The best way to test IT general controls is to:

A. Rely on management's assertion.

B. Test access, change management, and operations controls.

C. Review the IT budget.

D. Interview the CIO only.

Correct Answer: B

Q55 – Explanation

Correct: B. ITGCs cover access to programs/data, program changes, and computer operations. Testing these gives assurance over the IT environment.

A wrong: Assertions alone are insufficient.

C wrong: Budget review is not a control test.

D wrong: Interviews alone are weak evidence.

Q56

Question: An auditor disagrees with management's response to a finding. The auditor should:

A. Accept management's response.

B. Document the disagreement and escalate if needed.

C. Ignore the finding.

D. Resign.

Correct Answer: B

Q56 – Explanation

Correct: B. The auditor documents management's response and their own disagreement, escalating to the board if the issue is significant.

A wrong: Accepting without challenge undermines audit.

C wrong: Ignoring findings violates the Standards.

D wrong: Resignation is a last resort.

Q57

Question: The scope of an engagement should be:

A. Determined by management.

B. Sufficient to achieve engagement objectives.

C. Limited to financial areas.

D. Limited to one year.

Correct Answer: B

Q57 – Explanation

Correct: B. Scope must be sufficient to meet the engagement's objectives, as determined during planning.

A wrong: Management may request, but scope is internal audit's professional judgment.

C wrong: Scope can cover operations, compliance, IT, etc.

D wrong: No fixed time limit.

Q58

Question: Which is the best evidence of the existence of accounts receivable?

A. Inquiry of the credit manager.

B. External confirmation from customers.

C. The aged trial balance.

D. The sales budget.

Correct Answer: B

Q58 – Explanation

Correct: B. External confirmations from customers directly verify existence and are highly reliable.

A wrong: Inquiry is weak.

C wrong: The trial balance is internally generated.

D wrong: Budgets are forward-looking, not evidence of existence.

Q59

Question: The CAE should ensure internal auditors:

A. Never make mistakes.

B. Have the knowledge, skills, and competencies needed.

C. Only hold accounting degrees.

D. Work alone.

Correct Answer: B

Q59 – Explanation

Correct: B. Standard 1210: auditors must possess the knowledge, skills, and other competencies needed to perform their responsibilities.

A wrong: No one is error-free.

C wrong: Diverse skills are needed, not only accounting.

D wrong: Teamwork and supervision are expected.

Q60

Question: Which best describes control self-assessment (CSA)?

A. An external audit technique.

B. A workshop-based approach where management assesses controls.

C. A type of fraud.

D. A regulatory filing.

Correct Answer: B

Q60 – Explanation

Correct: B. CSA engages management/process owners in assessing their own controls, often in facilitated workshops. Internal audit may facilitate.

A wrong: CSA is internal.

C wrong: It is not fraud.

D wrong: It is not a filing.

Q61

Question: Which is the best way to obtain evidence about the design of a control?

A. Reperformance.

B. Inquiry and inspection of documents.

C. Observation only.

D. Analytical review.

Correct Answer: B

Q61 – Explanation

Correct: B. Design testing uses inquiry and inspection of policies/procedures to see if the control is properly designed.

A wrong: Reperformance tests operating effectiveness.

C wrong: Observation alone is insufficient.

D wrong: Analytical review does not test design.

Q62

Question: The CAE reports administratively to the CEO. This means the CEO:

A. Approves the audit charter.

B. Handles HR, budget, and day-to-day administration.

C. Sets the audit plan.

D. Issues audit opinions.

Correct Answer: B

Q62 – Explanation

Correct: B. Administrative reporting covers HR, budgets, and internal communication, while functional reporting (to the board) covers charter, plan, and reporting.

A wrong: The board approves the charter.

C wrong: The board approves the risk-based plan.

D wrong: Internal audit doesn't issue formal opinions.

Q63

Question: Which is an indicator of potential fraud?

A. Strong segregation of duties.

B. Lifestyle changes inconsistent with salary.

C. Regular reconciliations.

D. Timely reporting.

Correct Answer: B

Q63 – Explanation

Correct: B. Unexplained lifestyle changes are a classic red flag for fraud.

A wrong: Segregation of duties is a control.

C wrong: Reconciliations are controls.

D wrong: Timely reporting is a positive sign.

Q64

Question: Which is the best way to maintain independence when consulting?

A. Avoid documenting the engagement.

B. Ensure the auditor does not assume management responsibilities.

C. Have the auditor implement the recommendations.

D. Skip the engagement letter.

Correct Answer: B

Q64 – Explanation

Correct: B. Internal auditors may consult but must not take on management responsibilities, which would impair objectivity.

A wrong: All engagements must be documented.

C wrong: Implementing decisions is a management function.

D wrong: Engagement letters are good practice.

Q65

Question: The primary reason for a risk-based audit plan is to:

A. Reduce cost.

B. Focus on areas of greatest risk.

C. Speed up fieldwork.

D. Reduce findings.

Correct Answer: B

Q65 – Explanation

Correct: B. Risk-based planning directs limited audit resources to the highest-risk areas, maximizing value.

A wrong: Cost is not the primary driver.

C wrong: Speed is not the objective.

D wrong: Fewer findings is not the goal.

Q66

Question: Which is the best description of "reasonable assurance"?

A. A guarantee of no errors.

B. A high but not absolute level of assurance.

C. No assurance at all.

D. 100% certainty.

Correct Answer: B

Q66 – Explanation

Correct: B. Reasonable assurance is a high level of assurance, but not absolute, due to inherent limitations of audit.

A wrong: No guarantee is possible.

C wrong: It is not zero assurance.

D wrong: Absolute certainty is unattainable.

Q67

Question: Which document authorizes internal audit's access to records and personnel?

A. The engagement letter.

B. The internal audit charter.

C. The audit plan.

D. The Code of Ethics.

Correct Answer: B

Q67 – Explanation

Correct: B. The charter grants internal audit authority, including access to records, personnel, and physical properties.

A wrong: Engagement letters are for specific engagements.

C wrong: The plan lists engagements, not authority.

D wrong: The Code guides conduct, not authority.

Q68

Question: The CAE should report to the board if:

A. Management disagrees with a minor observation.

B. There is a significant risk or control issue management will not address.

C. The audit budget is exceeded.

D. An auditor is late.

Correct Answer: B

Q68 – Explanation

Correct: B. Significant unresolved risk/control issues must be escalated to the board.

A wrong: Minor disagreements are handled at the working level.

C wrong: Budget variances are administrative.

D wrong: Tardiness is an HR matter.

Q69

Question: Which is the best way to test the completeness of revenue?

A. Confirm accounts receivable.

B. Trace from shipping documents to sales invoices.

C. Review the sales budget.

D. Interview the sales manager.

Correct Answer: B

Q69 – Explanation

Correct: B. Tracing from shipping documents (source) to invoices tests completeness – did all shipments get billed?

A wrong: Confirmations test existence, not completeness.

C wrong: Budgets are not evidence.

D wrong: Inquiry alone is weak.

Q70

Question: Which is the best way to test the existence of revenue?

A. Trace from sales invoices to shipping documents.

B. Trace from shipping documents to sales invoices.

C. Review the sales budget.

D. Interview the sales manager.

Correct Answer: A

Q70 – Explanation

Correct: A. Tracing from recorded invoices back to shipping documents tests existence – did the sale really occur?

B wrong: That direction tests completeness.

C wrong: Budgets are not evidence.

D wrong: Inquiry alone is insufficient.

Q71

Question: Which is NOT a type of assurance engagement?

A. Financial audit.

B. Compliance audit.

C. Operational audit.

D. Advisory on system design.

Correct Answer: D

Q71 – Explanation

Correct: D. Advisory on system design is consulting, not assurance.

A wrong: Financial audit is assurance.

B wrong: Compliance audit is assurance.

C wrong: Operational audit is assurance.

Q72

Question: An internal auditor should be most concerned with which of the following?

A. A control that is documented but not tested.

B. A control that is designed but not operating.

C. A control that is operating but not documented.

D. A control that is both designed and operating.

Correct Answer: B

Q72 – Explanation

Correct: B. A control that exists on paper but does not operate provides no protection – a serious deficiency.

A wrong: Documentation without testing is a scope issue, less severe.

C wrong: Operating but undocumented is a documentation gap.

D wrong: Designed and operating is ideal.

Q73

Question: Which is the best description of "governance"?

A. The process of preparing budgets.

B. The processes and structures to direct and control the organization.

C. The audit committee's meeting minutes.

D. The external auditor's report.

Correct Answer: B

Q73 – Explanation

Correct: B. Governance encompasses the processes and structures used to direct, control, and hold the organization accountable.

A wrong: Budgeting is a management process.

C wrong: Minutes are evidence, not governance.

D wrong: The audit report is an output.

Q74

Question: The board's role in governance includes:

A. Daily operational decisions.

B. Oversight of risk, control, and accountability to stakeholders.

C. Preparing workpapers.

D. Hiring all staff.

Correct Answer: B

Q74 – Explanation

Correct: B. The board oversees management, risk, and control, and is accountable to stakeholders.

A wrong: Daily operations are management's job.

C wrong: Workpapers are internal audit's.

D wrong: Hiring is management/HR.

Q75

Question: Which is the best description of "risk response"?

A. Ignoring risk.

B. Avoid, reduce, share, or accept risk.

C. Transferring all risk.

D. Eliminating all risk.

Correct Answer: B

Q75 – Explanation

Correct: B. The four responses are avoid, reduce (mitigate), share (transfer), and accept.

A wrong: Ignoring is not a valid response.

C wrong: Transfer is only one option.

D wrong: Elimination is not always possible.

Q76

Question: Which is the best description of "control activities"?

A. Policies and procedures that help ensure management directives are carried out.

B. The board's meeting schedule.

C. The audit plan.

D. The marketing plan.

Correct Answer: A

Q76 – Explanation

Correct: A. Control activities are the policies and procedures (approvals, reconciliations, segregation) that help ensure directives are executed.

B wrong: Meeting schedules are not control activities.

C wrong: The audit plan is a planning document.

D wrong: Marketing plans are unrelated.

Q77

Question: Which is the best description of "monitoring" in COSO?

A. Preparing the budget.

B. Assessing the quality of internal control over time.

C. Hiring staff.

D. Setting the risk appetite.

Correct Answer: B

Q77 – Explanation

Correct: B. Monitoring assesses the quality of internal control performance over time, through ongoing and separate evaluations.

A wrong: Budgeting is a control activity.

C wrong: Hiring is a control activity.

D wrong: Risk appetite is set by the board.

Q78

Question: Which is the best description of "information and communication" in COSO?

A. The marketing campaign.

B. Identifying, capturing, and communicating relevant information.

C. The IT budget.

D. The audit report.

Correct Answer: B

Q78 – Explanation

Correct: B. Information and communication ensures relevant information is identified, captured, and communicated in a timely manner.

A wrong: Marketing is unrelated.

C wrong: IT budget is a resource, not a COSO component.

D wrong: The audit report is an output.

Q79

Question: Which is the best description of "risk assessment" in COSO?

A. Identifying and analyzing risks to objectives.

B. Preparing financial statements.

C. Hiring staff.

D. Auditing the financial statements.

Correct Answer: A

Q79 – Explanation

Correct: A. Risk assessment identifies and analyzes risks to achieving objectives, forming a basis for how risks should be managed.

B wrong: Financial statement prep is a management function.

C wrong: Hiring is a control activity.

D wrong: Auditing is assurance, not risk assessment.

Q80

Question: The control environment is best described as:

A. The tone of the organization, influencing control consciousness.

B. The IT infrastructure.

C. The audit committee.

D. The external auditor's opinion.

Correct Answer: A

Q80 – Explanation

Correct: A. The control environment is the tone at the top – integrity, ethical values, and commitment to competence – that sets the foundation for all other controls.

B wrong: IT infrastructure is part of control activities.

C wrong: The audit committee is part of governance, not the whole environment.

D wrong: The external opinion is not the environment.

Q81

Question: Which is the best description of "internal control"?

A. A process designed to provide reasonable assurance regarding objectives.

B. A guarantee of no fraud.

C. The external audit opinion.

D. The marketing plan.

Correct Answer: A

Q81 – Explanation

Correct: A. Internal control is a process, effected by people, designed to provide reasonable assurance regarding operations, reporting, and compliance objectives.

B wrong: No control guarantees no fraud.

C wrong: The external opinion is separate.

D wrong: Marketing is unrelated.

Q82

Question: Which is the best description of "compliance risk"?

A. Risk of violating laws, regulations, or policies.

B. Risk of losing market share.

C. Risk of IT failure.

D. Risk of fraud.

Correct Answer: A

Q82 – Explanation

Correct: A. Compliance risk is the risk of violating laws, regulations, rules, or policies, leading to penalties or reputational damage.

B wrong: Market share is strategic risk.

C wrong: IT failure is operational/technology risk.

D wrong: Fraud is its own category.

Q83

Question: Which is the best description of "operational risk"?

A. Risk of loss from inadequate or failed processes, people, or systems.

B. Risk of losing market share.

C. Risk of violating laws.

D. Risk of fraud.

Correct Answer: A

Q83 – Explanation

Correct: A. Operational risk arises from inadequate or failed internal processes, people, systems, or external events.

B wrong: Market share is strategic.

C wrong: Legal violations are compliance risk.

D wrong: Fraud is a subset, not the definition.

Q84

Question: Which is the best description of "strategic risk"?

A. Risk of failing to achieve strategic objectives.

B. Risk of IT failure.

C. Risk of fraud.

D. Risk of violating laws.

Correct Answer: A

Q84 – Explanation

Correct: A. Strategic risk is the risk of failing to achieve the organization's strategic objectives due to poor decisions or external changes.

B wrong: IT failure is operational.

C wrong: Fraud is its own category.

D wrong: Legal violations are compliance.

Q85

Question: Which is the best description of "reputational risk"?

A. Risk of damage to the organization's reputation.

B. Risk of IT failure.

C. Risk of fraud.

D. Risk of violating laws.

Correct Answer: A

Q85 – Explanation

Correct: A. Reputational risk is the risk of damage to the organization's image, brand, or public trust.

B wrong: IT failure is operational.

C wrong: Fraud is a separate category.

D wrong: Legal violations are compliance risk.

Q86

Question: Which is the best description of "risk register"?

A. A list of identified risks and their responses.

B. The audit plan.

C. The marketing plan.

D. The financial statements.

Correct Answer: A

Q86 – Explanation

Correct: A. A risk register documents identified risks, their assessment, owners, and responses.

B wrong: The audit plan is separate.

C wrong: The marketing plan is unrelated.

D wrong: Financial statements are outputs.

Q87

Question: Which is the best description of "control risk"?

A. The risk that a control fails to prevent or detect a misstatement.

B. The risk of fraud.

C. The risk of IT failure.

D. The risk of market loss.

Correct Answer: A

Q87 – Explanation

Correct: A. Control risk is the risk that a control will not prevent or detect a material misstatement on a timely basis.

B wrong: Fraud is a source, not control risk.

C wrong: IT failure is operational.

D wrong: Market loss is strategic/market risk.

Q88

Question: Which is the best description of "detection risk"?

A. The risk that audit procedures fail to detect a misstatement.

B. The risk of fraud.

C. The risk of IT failure.

D. The risk of market loss.

Correct Answer: A

Q88 – Explanation

Correct: A. Detection risk is the risk that the auditor's procedures will not detect a material misstatement. It is controlled by the auditor.

B wrong: Fraud is separate.

C wrong: IT failure is operational.

D wrong: Market loss is market risk.

Q89

Question: Which is the best description of "audit evidence"?

A. Information used by the auditor to reach conclusions.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q89 – Explanation

Correct: A. Audit evidence is all information used by the auditor to determine whether the engagement objectives are met and to reach conclusions.

B wrong: The report is the output.

C wrong: The plan is a planning document.

D wrong: The engagement letter defines the agreement.

Q90

Question: Which is the best description of "workpapers"?

A. Records documenting the audit work performed and conclusions reached.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q90 – Explanation

Correct: A. Workpapers document the work performed, evidence obtained, and conclusions reached, providing support for the report.

B wrong: The report is a separate deliverable.

C wrong: The plan is a planning document.

D wrong: The engagement letter defines the agreement.

Q91

Question: Which is the best description of "audit program"?

A. A document listing the procedures to be performed.

B. The audit report.

C. The engagement letter.

D. The audit committee minutes.

Correct Answer: A

Q91 – Explanation

Correct: A. The audit program lists the procedures to be performed to achieve the engagement objectives, and is tailored to the engagement.

B wrong: The report is the output.

C wrong: The engagement letter defines the agreement.

D wrong: Minutes are governance records.

Q92

Question: Which is the best description of "engagement objectives"?

A. What the engagement is intended to achieve.

B. The audit fee.

C. The audit committee's schedule.

D. The marketing plan.

Correct Answer: A

Q92 – Explanation

Correct: A. Engagement objectives state what the engagement is intended to accomplish, guiding scope and procedures.

B wrong: Fees are administrative.

C wrong: The committee's schedule is unrelated.

D wrong: Marketing is unrelated.

Q93

Question: Which is the best description of "engagement scope"?

A. The boundaries of the engagement – what is included and excluded.

B. The audit fee.

C. The audit committee's schedule.

D. The marketing plan.

Correct Answer: A

Q93 – Explanation

Correct: A. Scope defines the boundaries of the engagement – the activities, periods, and locations covered.

B wrong: Fees are administrative.

C wrong: The committee's schedule is unrelated.

D wrong: Marketing is unrelated.

Q94

Question: Which is the best description of "engagement risk"?

A. The risk that the engagement will fail to achieve its objectives or cause harm.

B. The risk of fraud.

C. The risk of IT failure.

D. The risk of market loss.

Correct Answer: A

Q94 – Explanation

Correct: A. Engagement risk is the risk that the engagement will not achieve its objectives or will cause harm to the organization or the auditor.

B wrong: Fraud is a source.

C wrong: IT failure is operational.

D wrong: Market loss is market risk.

Q95

Question: Which is the best description of "assurance engagement"?

A. An objective assessment of evidence to provide an opinion or conclusion.

B. A management advisory service.

C. The marketing plan.

D. The audit committee's schedule.

Correct Answer: A

Q95 – Explanation

Correct: A. An assurance engagement objectively examines evidence to provide an independent opinion or conclusion on the subject matter.

B wrong: Advisory (consulting) is different.

C wrong: Marketing is unrelated.

D wrong: The committee's schedule is unrelated.

Q96

Question: Which is the best description of "consulting engagement"?

A. An advisory service to add value without the auditor assuming management responsibilities.

B. A financial statement audit.

C. A compliance audit.

D. An operational audit.

Correct Answer: A

Q96 – Explanation

Correct: A. Consulting is advisory, adds value, and does not involve the auditor taking on management responsibilities.

B wrong: Financial statement audit is assurance.

C wrong: Compliance audit is assurance.

D wrong: Operational audit is assurance.

Q97

Question: Which is the best description of "follow-up"?

A. Monitoring whether management actions were implemented.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q97 – Explanation

Correct: A. Follow-up monitors whether management has implemented the agreed corrective actions, as required by Standard 2500.

B wrong: The report is a deliverable.

C wrong: The plan is a planning document.

D wrong: The engagement letter defines the agreement.

Q98

Question: Which is the best description of "quality assurance and improvement program" (QAIP)?

A. A program to evaluate and improve the internal audit activity.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q98 – Explanation

Correct: A. The QAIP covers all aspects of the internal audit activity, evaluating conformance with the Standards and the Code, and identifying improvement opportunities.

B wrong: The report is a deliverable.

C wrong: The plan is a planning document.

D wrong: The engagement letter defines the agreement.

Q99

Question: Which is the best description of "Code of Ethics"?

A. Principles and rules of conduct for internal auditors.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q99 – Explanation

Correct: A. The IIA Code of Ethics has two components: Principles (Integrity, Objectivity, Confidentiality, Competency) and Rules of Conduct that guide internal auditors' behavior.

B wrong: The report is a deliverable.

C wrong: The plan is a planning document.

D wrong: The engagement letter defines the agreement.

Q100

Question: Which is the best description of "internal audit charter"?

A. A formal document defining the purpose, authority, and responsibility of internal audit.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q100 – Explanation

Correct: A. The charter formally defines the internal audit activity's purpose, authority, and responsibility, and is approved by the board.

B wrong: The report is a deliverable.

C wrong: The plan is a planning document.

D wrong: The engagement letter is for a specific engagement.

End

End of 100-Question Deck

Review, repeat, and mark weak areas.

Add more questions by copying the Q/Explanation frame pairs.